

More fiscal loosening ahead

- **Key changes:** We've kept our forecast of the Czech Republic's GDP growth at 1.9% this year. The US-Iran ceasefire and the easing of commodity prices are a modest positive development. However, this is offset by weaker-than-expected domestic data, primarily in consumer spending. The government has unveiled an updated medium-term fiscal structural plan to be submitted to the European Commission for approval. The plan expects more fiscal loosening in the near term and pushes consolidation out to 2028-2030, without setting out any concrete measures. As such, we now expect a wider deficit, rising to 3% of GDP next year, and a slightly faster increase in the debt/GDP ratio.
- **Short-term forecast:** Despite a soft 0.2% q/q growth in Q1, the economy continues to carry solid, domestic-driven momentum. Consumer spending will remain the main engine of growth, but we expect the pace to soften compared to last year. The growth base should broaden as manufacturing picks up, supported by the EU defence ramp-up and the German fiscal stimulus. Inflation will continue to hover around 3% this year despite the electricity price subsidies and the US-Iran ceasefire sending global oil prices tumbling, as domestic price pressures in services and the housing market outweigh these factors. This has prompted the CNB to hike the policy rate by 25bps to 3.75% in June, and we expect another 25bp hike in Q3.
- **What to watch out for:** Global developments remain a downside risk to the economy, mainly owing to the fragility of the US-Iran ceasefire. Sluggish growth in the Eurozone also poses a risk of continued soft external demand for the export-oriented Czech economy. Domestically, the main downside risk pertains to the labour market, which continues to gradually loosen, albeit from a very tight level. If the loosening accelerates, this could dampen consumer spending growth. We see potential upside risks in manufacturing and exports, which have been surprisingly resilient in 2026 so far, as Czech producers have managed to diversify their export base in recent years.

Table 1: Czech Republic forecast overview

	(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)					
	2023	2024	2025	2026	2027	2028
GDP	0.2	1.1	2.6	1.9	2.1	2.8
Private consumption	-2.5	2.4	3.0	2.8	2.7	3.0
Fixed investment	4.5	-3.0	2.6	5.5	2.3	3.7
Government consumption	3.2	3.1	2.1	1.5	2.7	3.0
Industrial production	-0.8	-1.0	2.1	2.3	4.4	3.6
Consumer prices	10.7	2.4	2.5	2.4	2.2	1.9
Unemployment rate (%)	3.6	3.8	4.4	5.0	4.8	4.3
Current a/c balance (% of GDP)	-0.1	1.7	0.8	-0.8	0.5	0.5
Government balance (% of GDP)	-3.7	-2.0	-2.1	-2.5	-3.0	-3.3
Central bank policy rate (% EOP)	6.75	4.00	3.50	4.00	3.50	3.00
10yr govt. bond yield (% EOP)	3.72	4.20	4.50	5.02	5.20	5.20
Exchange rate (Koruna per Euro, EOP)	24.73	25.19	24.25	24.53	24.14	23.68

Source: Oxford Economics

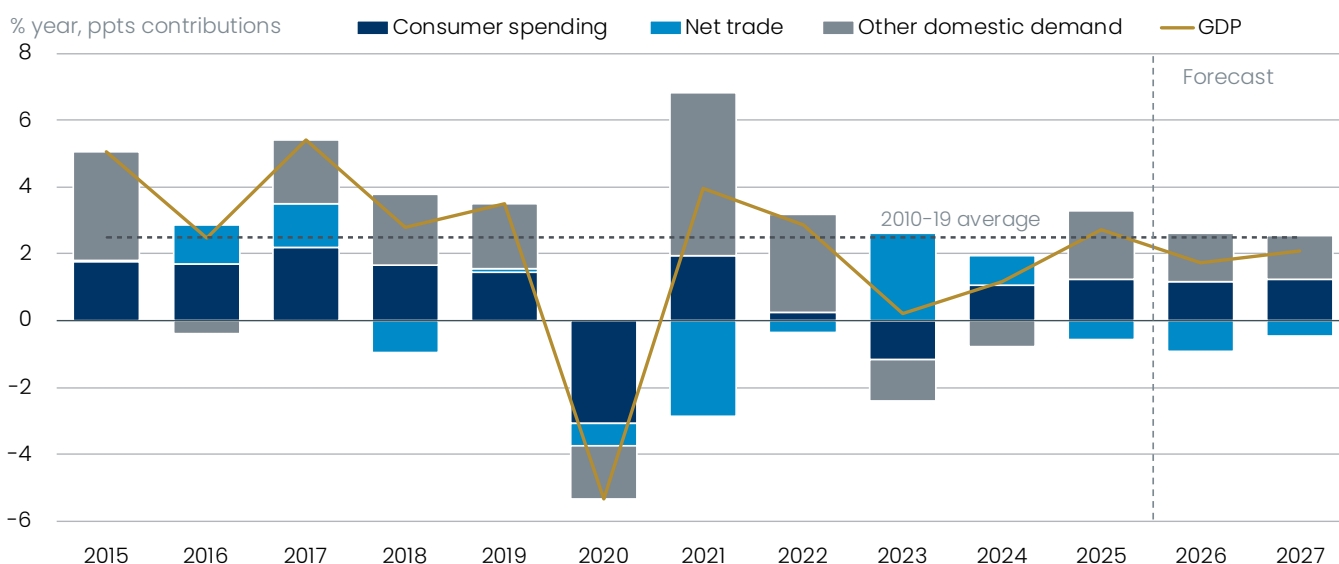
Baseline forecast

Recent developments

Growth slowed to 0.2% q/q in Q1, compared with an average of 0.7% q/q in 2025. However, this was mostly due to one-off factors, rather than the impact of the US-Israel war with Iran, which only affected the March data. Overall, the economy was in a relatively strong state at the start of the conflict. However, there are early signs of the growth structure shifting, though growth drivers remain decidedly domestic (**Chart 1**). Retail sales plunged 0.9% m/m in April, reversing the March beat, though a bounce-back in consumer confidence in May and June suggest the weakness might be short-lived. Unemployment rate rose back to 5% in May and based on hiring intentions is likely to creep up further. Meanwhile, industrial production recorded another solid month in April with production expanding by 1.3% m/m. Inflation surprised to the downside in May, easing to 2.1% on the back of the continued softness in food prices. However, underlying pressures remained intact with core inflation staying at 2.9%.

Chart 1: Growth momentum eased in early 2026 but continued to be driven exclusively by domestic demand

Czech Republic: GDP growth breakdown



Sources: Oxford Economics, Haver Analytics

Short-term forecast

We've kept our GDP growth forecast for 2026 unchanged at 1.9%. The US-Iran ceasefire is a modest positive development which removes the downside tail risk. However, weaker outturns from the domestic economy at the start of 2026, particularly in consumer spending, offset this. We expect investment to gradually pick up, but it will continue to be driven mostly by public infrastructure spending. Machinery capex will continue to be stifled by high borrowing costs. Manufacturing should slowly start contributing more to growth following its surprising resilience in early 2026, benefitting from the ongoing defence spending ramp-up in Europe and Germany's fiscal stimulus.

We still think inflation will rise towards 3% in H2 despite the US-Iran ceasefire sending the oil prices tumbling down and the government electricity price subsidies also lowering inflation this year. Services inflation remains stubbornly high near 5% and nominal wage growth accelerating to 8.1% y/y in Q1 will keep it there. Similarly, the overheating housing market will push up both actual and imputed rents. Food prices have been surprisingly soft, dragging headline inflation down, but we don't think this is durable despite soft pipeline pressures from agriculture and food manufacturers. The current bout of extreme weather will affect this year's crop yields.

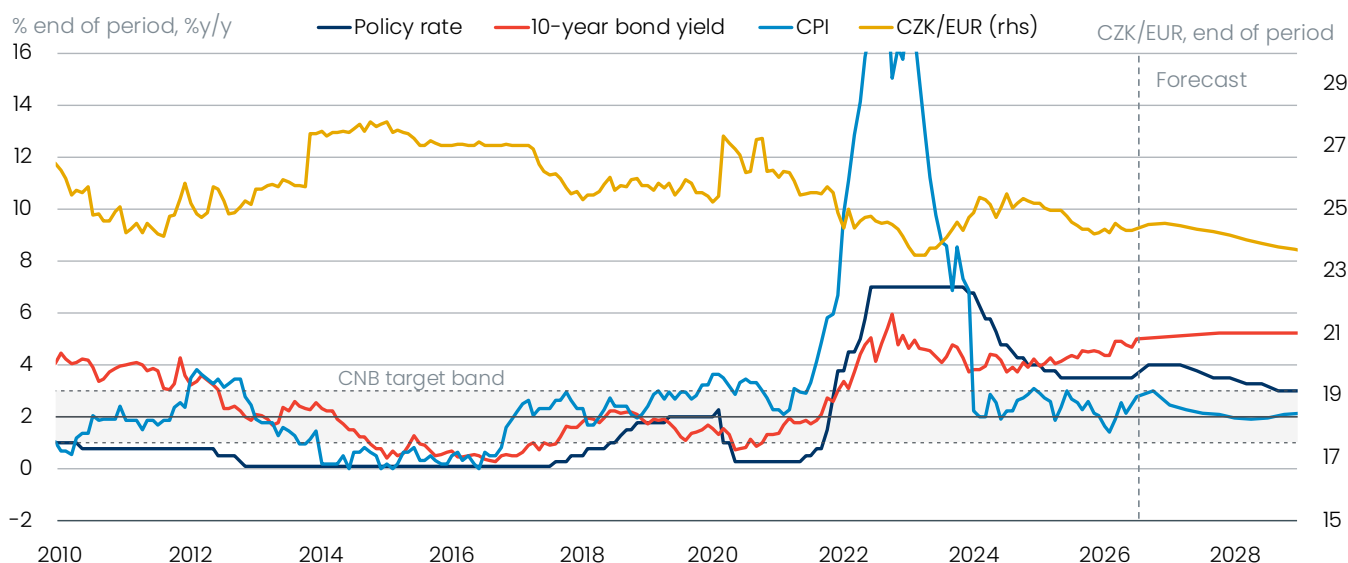
Policy assumptions

Fiscal policy. The government, led by the populist ANO party, is planning significant fiscal loosening in the coming years. The 2026 budget was relatively timid due to time pressure, with the new government largely sticking to the existing budgetary framework. But the removal of fiscal rules and a growing number of spending priorities suggest wide budget deficits in 2027–2029 of close to 3% of GDP, despite solid economic growth. Some of the government's plans, such as investment in transport and energy infrastructure, are needed to help ailing productivity growth. But we think other measures, such as blanket tax cuts, subsidies, and public sector salary increases, won't do much to boost growth. Significantly higher borrowing coupled with upside inflationary impetus will exert upward pressure on bond yields, which we expect to rise above 5% later this year.

Monetary policy. The Middle East conflict has taken an interest rate cut off the table in the near term. Regardless of the commodity shock, we think that talk of rate cuts was premature – services inflation hovers just below 5%, pushed up by the overheating housing market, and nominal wage growth is above 7%. The CNB hiked the policy rate by 25bp in June, in line with our forecast ([Chart 2](#)). The board was at pains to stress optionality about its next steps, but we expect another 25bp rate hike in Q3, followed by an extended pause. In the end, it was domestic price pressures – namely the stubborn services inflation, accelerating nominal wage growth in Q1 and the overheating housing market – that prompted the CNB to tighten policy. These pressures will fade only slowly even at higher real rate levels. The Czech koruna has been remarkably resilient, staying flat at 24.2/€.

Chart 2: We expect the CNB to hike its policy rate to 4% in Q3, followed by gradual cuts in 2027

Czech Republic: Policy rate



Sources: Oxford Economics, Haver Analytics

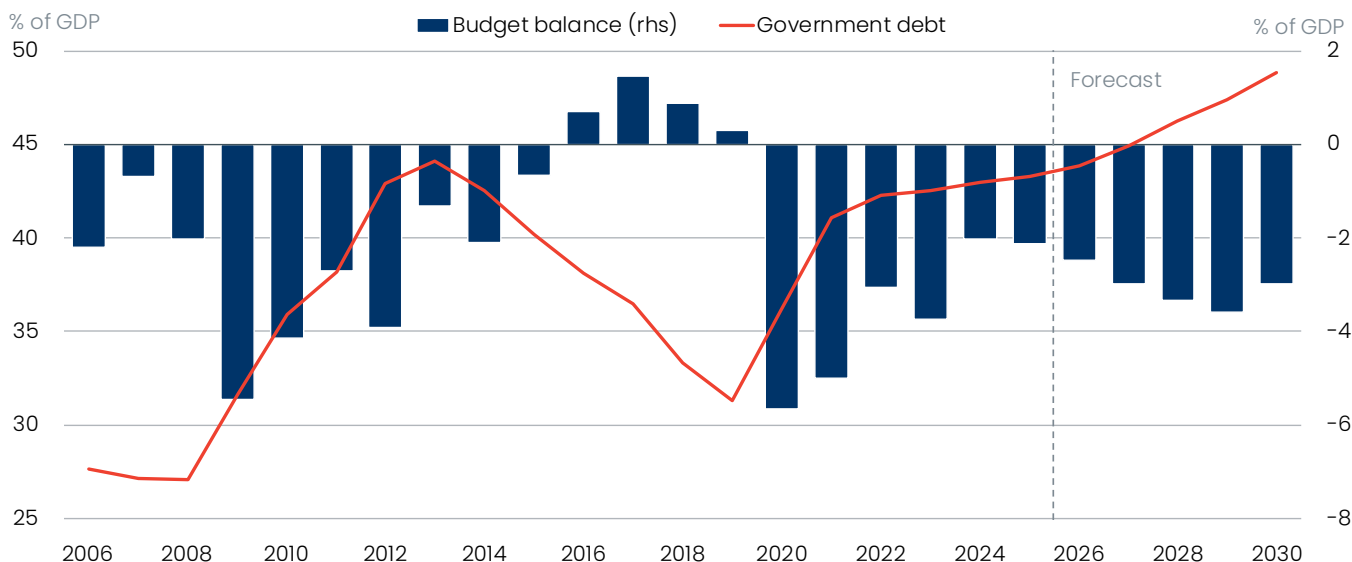
Key drivers of short-term forecast

The economy has a productivity problem. Growth in gross value added per hour worked has been effectively stagnant since 2019, with all GDP growth since then driven by growth in population, employment, and hours worked. Integration of Ukrainian refugees has been a key boost, but labour supply as a driver of growth is near-exhausted. Years of underinvestment in R&D, education and infrastructure coupled with low job switching and declining educational attainment have resulted in a productivity slog. However, the current pace of real wage growth is unsustainable without a rebound in productivity growth. Similarly, the Czech economy is unlikely to kickstart its stalled economic convergence without productivity growth and a shift to higher value-added production.

Fiscal policy is making a comeback. The new government plans to loosen fiscal policy by around CZK100bn–CZK150bn (1.2%–1.5% of GDP) annually. The loosening focuses on current spending and transfers, with a relatively modest increase in public investment, and will be debt-funded. This should boost near-term demand. But we expect a negative medium-term impact through low multiplier effects, higher borrowing costs, and a crowding out of private activity, with the economy not needing stimulus at present.

Chart 3: We expect significant fiscal loosening and a steady rise in the debt/GDP ratio in coming years

Czech Republic: Fiscal position

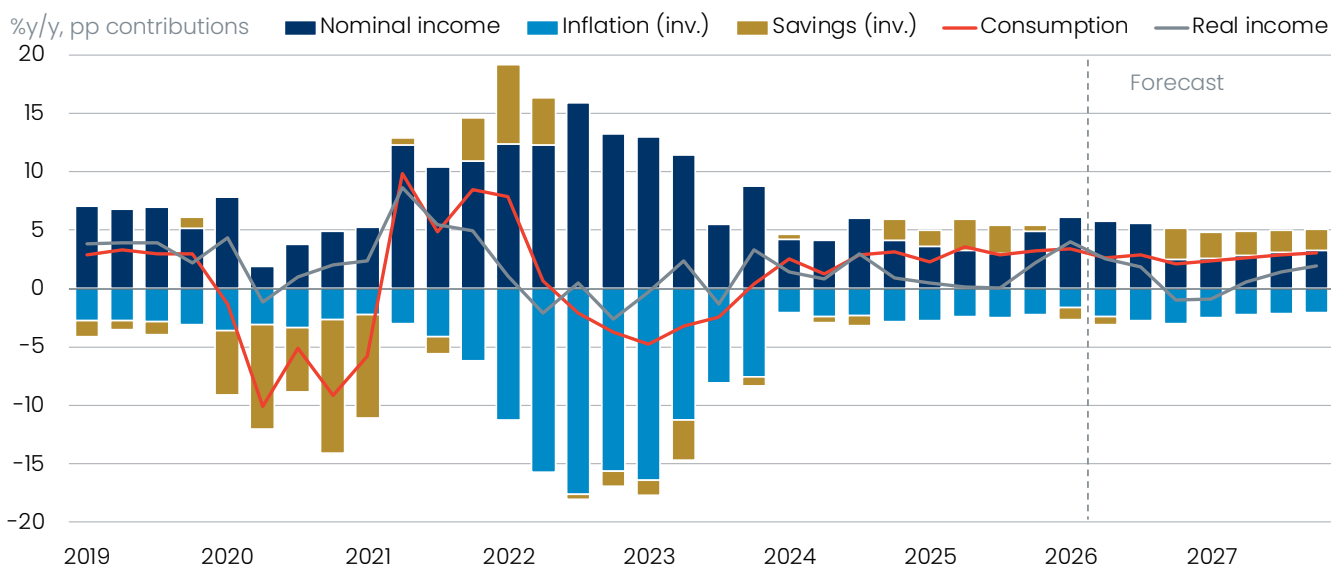


Sources: Oxford Economics, Haver Analytics

Consumers are resilient and have a savings buffer. We think that consumers should be able to weather the hit to real incomes from higher energy prices feeding through – low unemployment, strong nominal wage growth, and an elevated savings rate provide some cushion – although we still expect consumption growth, which is uneven and driven by higher-income households and services spending, to slow (Chart 4).

Chart 4: Consumer spending should remain resilient amid high inflation

Czech Republic: Consumer spending



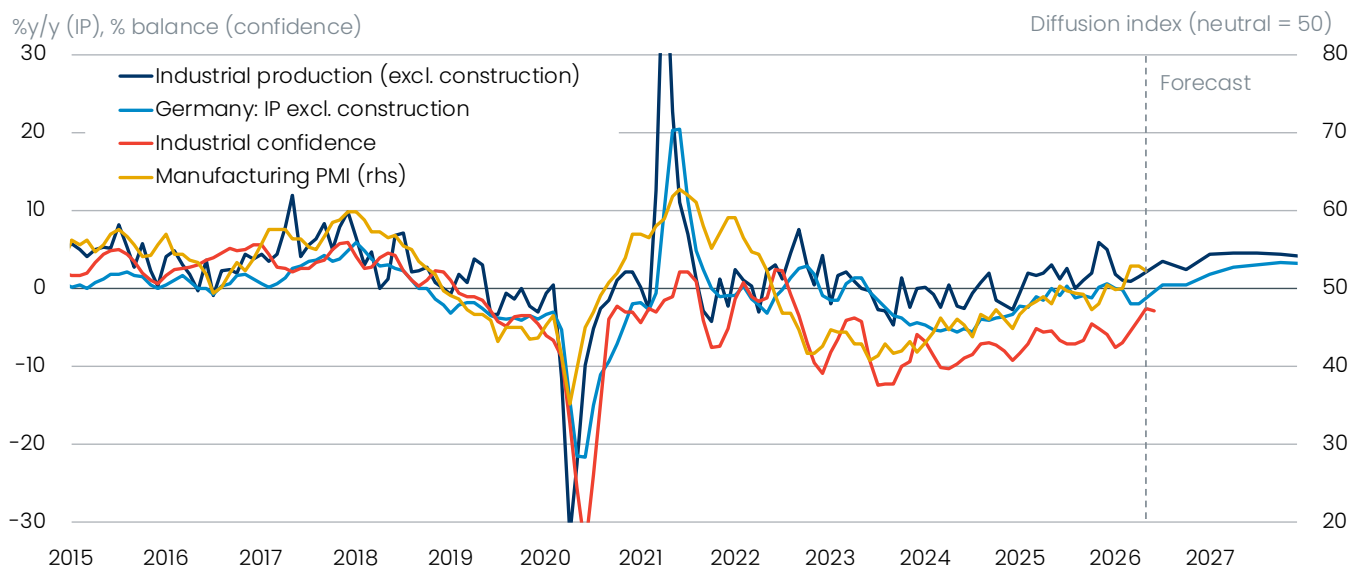
Sources: Oxford Economics, Haver Analytics

German fiscal stimulus will help. The [German fiscal loosening](#) will generate growth spillovers for the Czech economy. We expect higher defence and infrastructure spending to boost Czech industrial production and exports from 2027 onwards, given the economy's strong links with Germany. However, capacity constraints and the sheer size of the stimulus are likely to push inflation up initially.

Manufacturing could help to cushion the blow. The manufacturing sector now appears to be on a steady upward trend following years of stagnation in the aftermath of the pandemic, which was marred by soft external demand, high energy costs, and elevated interest rates ([Chart 5](#)). Two sectors in particular – defence and clean tech – are performing well and are set to benefit from a structural rise in demand in the coming years, helping to offset the structural decline in energy-intensive sectors like chemicals. Another tailwind for Czech industry will be the deployment of the German fiscal stimulus, thanks to its deep integration into the German manufacturing supply chains. However, growing competition from China, often subsidised by the Chinese government, will be a key challenge for the sector.

Chart 5: Rebounding manufacturing activity should serve as a cushion to the growth hit from the Iran war

Czech Republic: Industry



Sources: Oxford Economics, Haver Analytics, S&P Global

Borrowing costs are set to remain high. We don't expect the era of the low interest rates to return. The CNB is set to keep its policy rate at around the neutral level in the long term, which we estimate to be 3%. However, we expect upward pressure on the longer end, stemming from the structural rise in government bond yields. Markets are pushing yields higher due to higher expected borrowing and the risk of higher inflation, with the economy operating near its full capacity ahead of the expected fiscal loosening.

We expect these higher borrowing costs to persist as the government's budget deficit widens over the coming years, with only some of the extra spending going towards productive, growth-enhancing public investment. This will feed into higher mortgage rates and longer-term loans for corporates, typically used to finance capex.

What to watch out for

Beware the capex shortfall. Total investment has been stagnating since 2023 and falling for equipment and intellectual property purchases. High interest rates, elevated uncertainty, and soft external demand are the main

culprits. This investment shortfall will drag on the supply side and inhibit the shift up the value chain as productivity growth falters.

Labour market softening. The labour market continues to gradually cool as manufacturing sheds jobs. Although the unemployment rate remains low at 4.9%, subdued hiring intentions, particularly in manufacturing, and ongoing layoffs since mid-2024 pose a downside risk to our forecast. A larger deterioration in the labour market could spark consumer caution and dent wage growth, stunting the only remaining growth engine.

Defence spending. The Czech Republic is well placed to benefit from the EU-wide drive to ramp up defence spending, given its large manufacturing base and strong defence manufacturing sector, particularly in terms of ammunition and vehicles, and also the wider supply chain, from metals and chemicals to electronics. However, the Czech government itself is faltering in the defence spending drive, barely meeting the old NATO target of 2% of GDP in 2025, and isn't planning to raise defence spending in 2026.

Demographics and labour shortages. Given a poor demographic profile and the migration of workers to other EU countries, labour scarcity is a major risk to growth. Czech firms across sectors continually cite the lack of labour as a factor limiting production. Possible solutions include a shift away from a growth model based on low-value-added manufacturing to boost salaries. Nearshoring trends could benefit the economy in this respect. Limiting the outward migration of skilled workers or easing visa procedures to attract workers from countries like Ukraine or the Balkans could also improve demographics.

Shift up the value chain. Despite impressive average growth over the past two decades, converging in productivity levels towards the Western European economies, the Czech economy [has struggled to move up the value chain](#) towards final goods production. Instead, it mostly remains a supplier of intermediate inputs in the supply chain, relying on a sustained trade surplus. However, this growth model is difficult to sustain in a more fragmented global trade landscape, and growing labour costs are eroding Czech industry's competitiveness. Investment in education and R&D along with capital market deepening are needed to facilitate the shift towards higher value added.

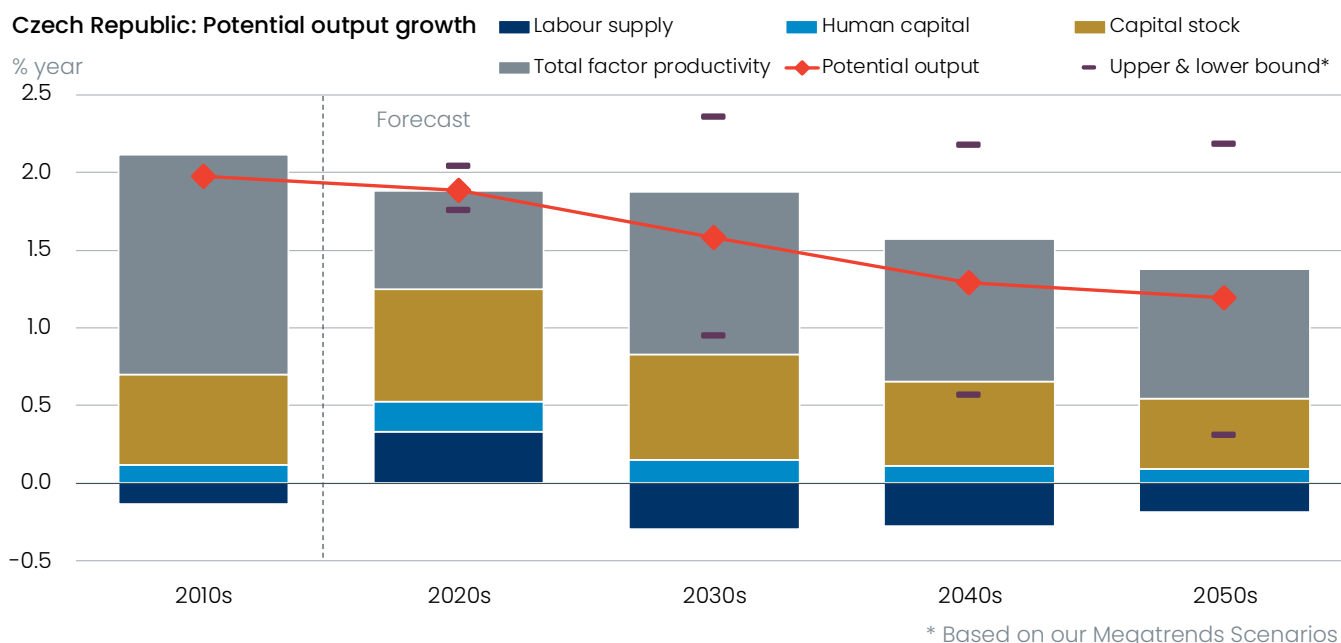
Long-term prospects

The Czech economy has produced an impressive convergence to the Western European economies, with real GDP growth averaging 2.9% in the two decades before the pandemic, while productivity grew at an average of 2.5% annually. This growth model has been based on a large, well-integrated manufacturing sector, cost-competitive but technically skilled labour force, net foreign direct investment, and know-how inflows. However, the economy has failed to shift up the value chain, and growth in the factors shaping long-term potential growth has started to fade ([Chart 6](#)).

The Czech Republic's worsening demographic profile and low retirement age will act as a drag on labour supply, leaving migration to counterbalance the negative impact. Russia's invasion of Ukraine triggered a massive refugee outflow from Ukraine, with around 300,000 Ukrainians still residing in the Czech Republic. The refugees have integrated well, accounting for over 3% of the labour force. We expect around half would return to Ukraine if there's a stable ceasefire. This would worsen labour shortages in manufacturing, retail, and consumer services.

The Czech Republic's export-led growth is based on a cost-competitive workforce and a traditional, large manufacturing sector, with many services based around supporting manufacturing as well. However, we think the technological 'catch-up' process will become more challenging. The economy's focus remains on producing low-margin intermediate goods, with limited scope for R&D and innovation growth. The share of tertiary education in the workforce is relatively low, and the rigid labour market stifles reallocation and productivity growth. The Czech Republic will need to develop homegrown firms that can take a larger proportion of the value added in global value chains. It will also have to strive to better employ available capital in riskier, growth-driving investment.

Chart 6: Our baseline forecast shows an increasing reliance on productivity growth



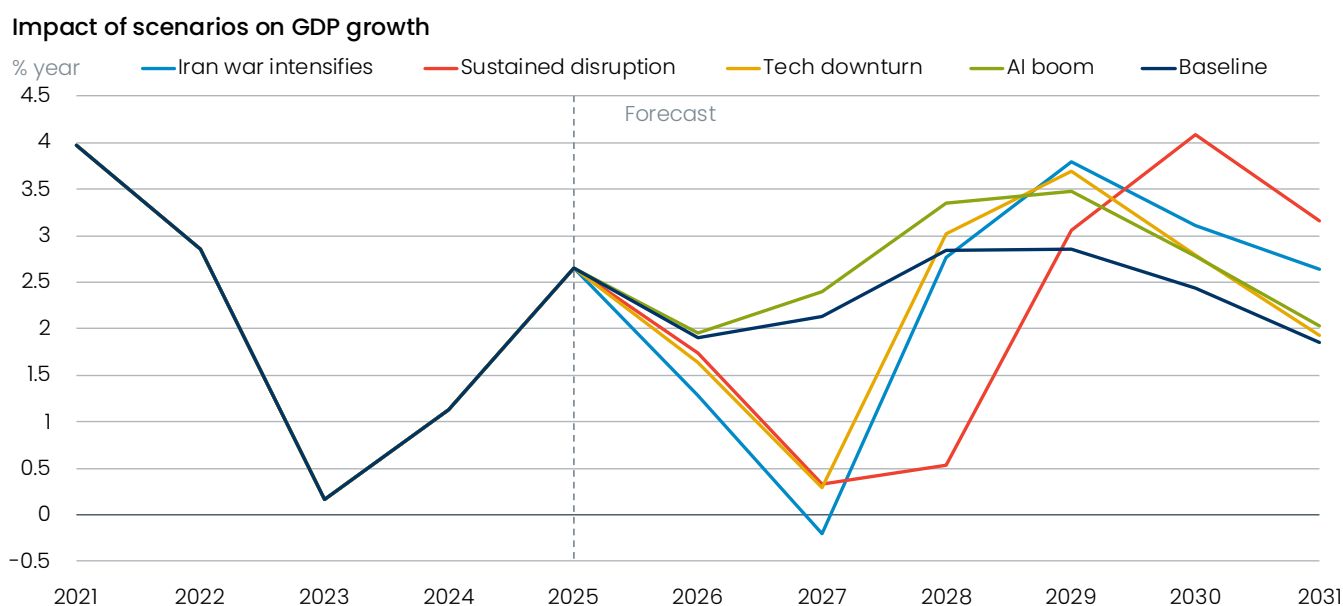
Sources: Oxford Economics, Haver Analytics

Scenarios

Exposure to key global risks

AI boom. The global economy is bolstered by buoyant US tech investment and stock prices, at the same time as rapid AI adoption fuels gains in productivity. The world economy strengthens as robust US growth spills over globally, including to exporters of tech-related products to the US. Productivity gains help keep price pressures in check. The Czech Republic's GDP would grow 0.3ppts above our baseline in 2026–2028 ([Chart 7](#)).

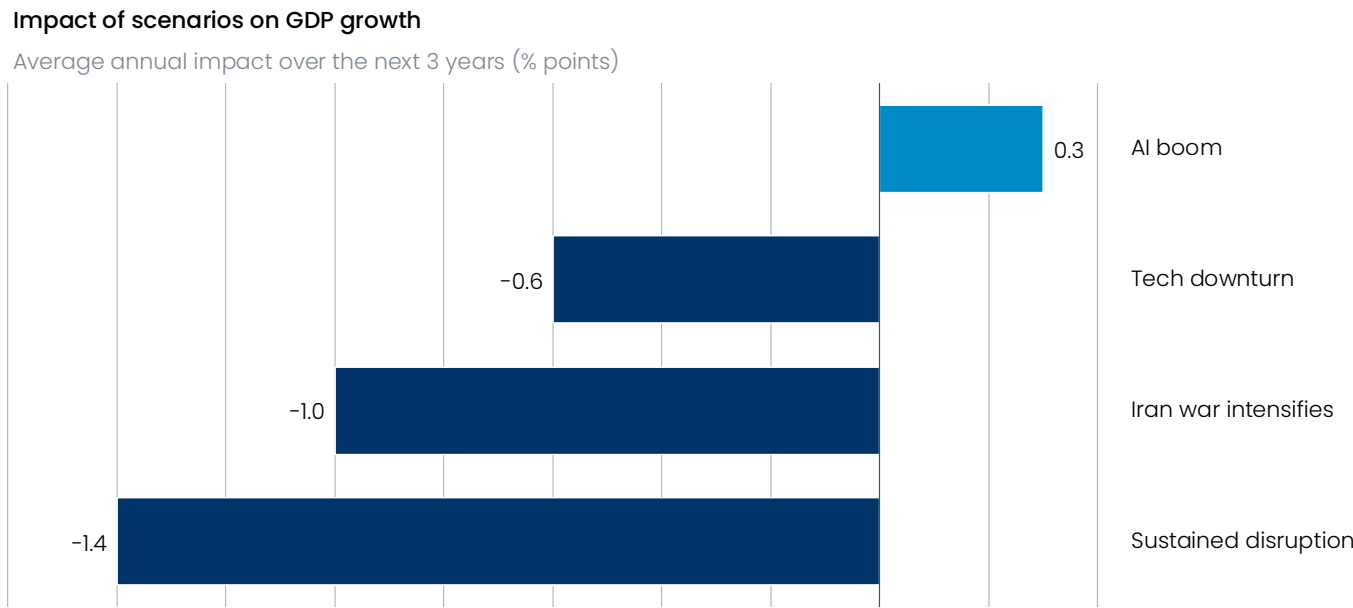
Chart 7: Risks around the near-term forecast skew to the downside



Source: Oxford Economics

Prolonged Iran war. In this scenario, war proves more prolonged than in our baseline forecast. A sustained stalemate leads to the Strait of Hormuz remaining effectively closed for six months. Alternative shipping routes also come under threat, while the extended conflict increases damage to energy infrastructure. As a result, energy prices remain elevated for an extended period. Energy shortages damage activity, with some household spending delayed due to energy shortages halting some travel and shipping activity. Supply-chain pressures outside the energy sector result in broader price and cost pressures. Although inflation expectations remain relatively well-anchored, investors demand a higher inflation risk premium, causing borrowing costs to rise. Over the next three years, Czech Republic's GDP would grow 1.1ppts below our baseline ([Chart 8](#)).

Chart 8: Investment and productivity in our AI-boom scenario could offset other weakness



Source: Oxford Economics

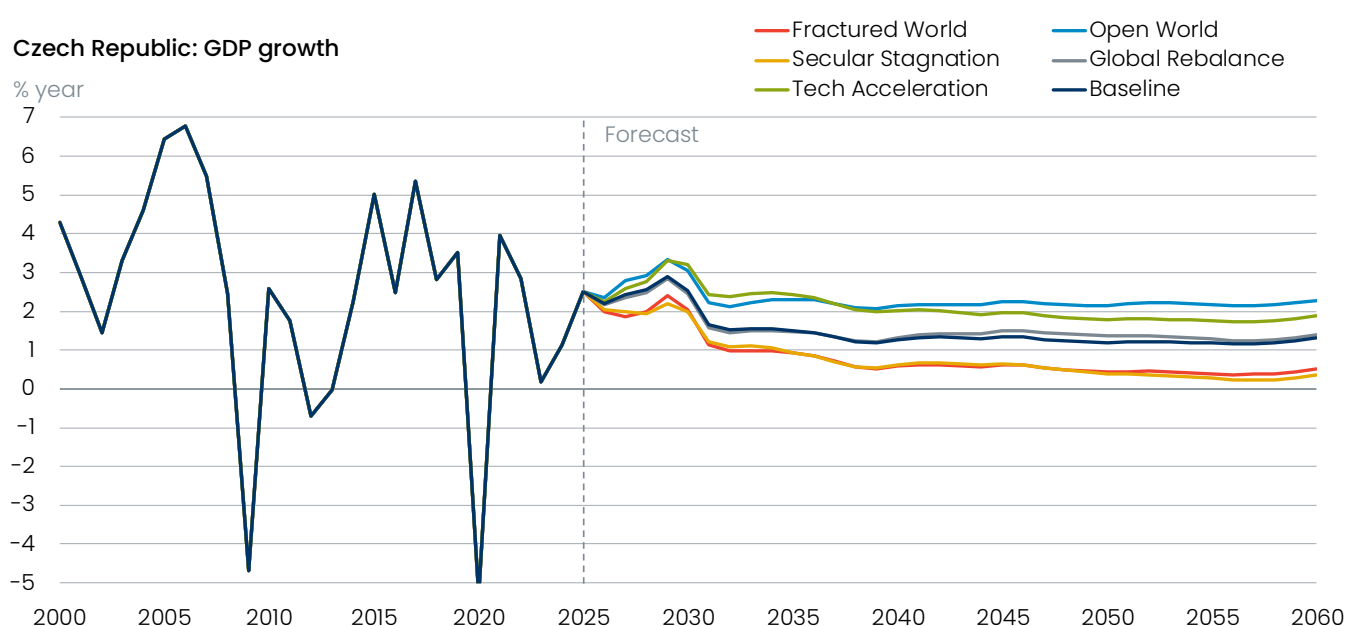
Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Tech acceleration. In this scenario, technological advancements including AI spur innovation and boost productivity growth thanks to robust R&D, effective regulation, and uptake. Investment also rises in the short term as firms rapidly deploy capital to fund automation. Structural unemployment is contained as policymakers use fiscal dividends from growth to support the displaced workers. In this scenario, Czech GDP grows on average by 0.7ppts a year quicker than in our baseline forecast.

Fractured world. In this scenario, trade barriers become more widespread than in our baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and R&D. Weaker institutions and reduced knowledge spillovers compound the impact on potential output, while poor productivity limits real wage growth and labour participation. In this scenario, Czech GDP grows by 0.6ppts a year slower than in our baseline forecast.

Chart 9: Globalisation and technological progress are the main scenario drivers



Sources: Oxford Economics, Haver Analytics

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Overall	3.0	0.0	10
Market demand	3.0	0.0	7
Market cost	3.0	0.0	13
Exchange rate	2.2	0.1	15
Sovereign credit	2.9	0.0	14
Trade credit	4.0	0.0	15

Source: Oxford Economics

Overall risk for the Czech Republic: 3.0/10*

The overall economic risk score of 3.0 is low, ranking the Czech Republic 10th out of 164 countries in our survey and significantly below the emerging markets average of 5.8. The risk score is unchanged from six months ago ([Chart 10](#)).

The Czech Republic is one of the least risky emerging markets due to its conservative fiscal and monetary policies, low debt, strong institutions, and prudent and liquid banking sector. Its growth potential benefits from a diversified industrial base, a high-skilled but cost-competitive labour force, and competitive exports. The main downside risks are poor demographics and rising labour shortages. Although the koruna straddles the dividing line between a developed and emerging market currency, it's still susceptible to sell-offs and Czech debt carries a risk premium. Still, we see little public support or political will to adopt the euro.

Chart 10: The Czech Republic's risk score is still far below the emerging markets average

Economic risk: Czech Republic vs Emerging markets average



Source: Oxford Economics

Market demand: 3.0/10

The demand risk score is quite low at 3.0 and significantly below the emerging markets average of 5.8.

Demand prospects are mixed. Consumer spending trend growth was 3.3% in 2014–2019, but spending has yet to recover to pre-pandemic volumes and the savings rate remains elevated. As the labour market is one of the tightest in the EU, it will underpin private consumption over the medium term. But large purchasing power losses in recent years due to elevated inflation far outpacing nominal wage growth suggest Czech households have only limited bargaining power and a preference for employment stability over stronger earnings growth.

Market cost: 3.0/10

The market cost risk score is low at 3.0, well below the emerging markets average of 5.8.

Despite a modest inflation outlook, we see some risks. The Czech economy has operated significantly above capacity, and labour market tightness pushed wage growth above 7% in 2019, raising input costs for producers and feeding into inflation. The labour market rebounded quickly after the pandemic, returning to its pre-pandemic tightness. We expect it to remain tight, with the poor demographic outlook worsening labour shortages.

The economy went through a severe period of high inflation in 2022–2023, with prices rising by 40% since 2019. The inflationary surge was driven by both demand and supply factors, with high energy intensity compounding the blow. Policy rate hikes depressing demand and supply shocks fading have brought inflation under control since, and it should stay within the CNB's target range in 2026, aided by the government's subsidies reducing energy costs.

Exchange rate: 2.2/10

Under our methodology, the exchange rate risk is 2.2, slightly higher than six months ago but below the emerging markets average of 4.2.

The koruna has enjoyed a strong run since November 2022, appreciating to a post-global financial crisis low of CZK23.3/EUR. Strong fundamentals, namely the positive rate and growth differentials over the Eurozone, should support the koruna. But we think the current risk-off environment will likely persist, with the koruna carrying a higher risk premium, limiting its appreciation potential.

The Czech Republic is one of the safest sovereigns among emerging and developed markets.

S&P and Fitch rate Czech sovereign credit at AA-, and Moody's at Aa3, having upgraded it in November 2023. The risk score of 3.0 is marginally lower than six months ago, well below the emerging markets average of 4.6, and reflects overall strong fiscal, external, and banking sector balance sheets. Government debt is less than 50% of GDP and the central bank has a record of hawkish inflation targeting. The banking sector is notoriously prudent and well-cushioned against potential shocks, with strong capitalisation, loans more than funded by deposits, and no signs of credit overheating. However, the new government plans to implement significant debt-funded fiscal loosening in 2027-2029.

Chart 11: The Czech Republic scores comparatively poorly on FX and sovereign credit risk

Emerging markets average

■ Czech Republic

■ Czech Republic 6 months ago

Trade credit: 4.0/10

The Czech Republic benefits from a robust banking system, with relatively low liabilities as a share of GDP. That said, any sharp deterioration in the Eurozone outlook would have a large negative impact on the Czech economy given its close connection to European supply chains and its export-led growth model.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).